

Virtual Asset Whitepaper
Horse Lease Rewards Token (HLT) – 18 July 2025

Section 1 – A detailed description of the Issuer and an overview of the main Entities involved in the design, development, offering or Marketing of the Virtual Asset, to the extent applicable to the Issuer, including whether any individual has been convicted of any offence of dishonesty, fraud, financial crime or an offence under laws relating to companies, banking, insolvency, money laundering and insider dealing, and, to the extent permissible under applicable laws, whether any individual is subject to ongoing inquiries or investigations in respect of such offences.

- **Tokinvest DMCC** a company organized and existing under the laws of the United Arab Emirates, license no DMCC-928046 (registered on 10th May 2024) and with its principal office at Unit No: UT-12-PO-8, DMCC Business Centre, Level No 12, Uptown Tower, Dubai, United Arab Emirates. ("**Tokinvest DMCC**").

Tokinvest DMCC is a VARA regulated broker dealer reference number VL/2024/12/004 providing Virtual Asset design, placement, marketing, distribution and OTC trading services for the Virtual Asset.

Tokinvest DMCC is an independent company with no parent company, and this will be their first VA issuance. As a registered broker dealer operating under a VARA license, it is expected that there will be a number of further issuances in the future.

Tokinvest DMCC is the issuer of this Virtual Asset which is a digital syndicate structured product giving token holders rights to a share in racehorse reward and receiving a portion of earnings in consideration for their contribution to the in the care, maintenance and training of specific horse(s).

- **Evolution Stables Limited** a company organized and existing under the laws of New Zealand, license no 8278345 and with its principal office at 8 Huia Street, Devonport, 0624, New Zealand ("**Evolution Stables**"). Evolution Stables facilitates digital-syndication and lease-based racehorse ownership, managing engagement with horse owners and tokenholders while ensuring regulatory compliance. Evolution Stables has appointed Tokinvest DMCC to be the issuer and VA broker dealer for this Virtual Asset.
- **New Zealand Thoroughbred Racing (NZTR)**. Governing body overseeing thoroughbred racing in New Zealand, providing regulatory oversight for digital syndicators.
- **Hext Trust Mena** is a VARA regulated Custodian. Tokinvest has entered into a material outsourcing agreement with Hex Trust for Virtual Asset Custodian services.

Compliance & Regulatory Considerations:

AML / KYC: All participants must undergo AML/KYC verification.

To the best of Tokinvest's knowledge, no individual involved in the above entities has been convicted of any offence involving dishonesty, fraud, financial crime, or offences under laws related to companies, banking, insolvency, money laundering, or insider dealing.

Furthermore, there are no ongoing inquiries or investigations into any individuals involved in Tokinvest DMCC regarding such offences, to the extent permissible under applicable laws.

Complaints Handling Procedure

For any complaints please go to Tokinvest's website; [Tokinvest Complaints Handling and Resolution Procedure](#) which details the complaints handling procedure and how to submit a complaint.

Section 2 - A detailed description of the Virtual Asset that will be Issued, including but not limited to all features, uses or other characteristics.

The HLT Virtual Asset issued represents a tokenized lease agreement for a specific percentage stake in a racehorse, granting the holder access to the horse's "Earnings" for a fixed period.

This structure enables a low-risk, flexible entry into racehorse industry participation and contribution to the equine industry while maintaining compliance with industry regulations. The Virtual Asset does not confer legal title in the horse(s) to tokenholders or any guarantee of income, profits or returns. Furthermore, the HLT does not purport to have any stable or pegged asset value or confer any claim over the relevant horse, the reference asset is the lease agreement.

Key Features & Characteristics:

- **Fixed-Term Lease Model:**

Tokenholders obtain a non-exclusive digital slot to participate in the operational lease cycle of a racehorse (e.g., 1% or more) in a racehorse for a predetermined period of not less than 12 months.

The lease duration is a fixed term set by the racehorse owner, with such particulars for each horse set out in the relevant virtual asset description on the Tokinvest platform. Leases are structured to reflect a defined period of the horse's Earnings — whether in training, racing, or at stud.

Given the cyclical nature of the industry, owners retain flexibility to structure leases according to their goals. However, all lease terms are counted in full calendar months, with a minimum duration of 12 months hardwired into the HLT product structure.

- **Virtual Asset Reward Structure**

- Tokenholders receive access to a non-guaranteed performance-based reward structure as a recognition for supporting the care and promotion of the horse during the lease period.
- Tokenholders are eligible to receive a variable reward, set by the horse owner, as recognition for participating in the operational journey of the horse.

- This range gives owners flexibility to adjust based on the horse's quality and commercial potential — retaining more upside in elite horses while still ensuring meaningful rewards for tokenholders.
- **Potential Revenue Streams (if any) that will contribute to Rewards include:**
 - **Race Winnings (Prize Money)**
Standard earnings from official race results, including base prize pools and bonus schemes.
 - **Sponsorship & Endorsements**
Commercial deals involving the horse, silks, syndicate, or related promotions.
 - **Media & Naming Rights**
Earnings from appearances, interviews, documentaries, or naming rights.
 - **Digital Asset Income**
Proceeds from the sale or resale of digital memorabilia (e.g. NFTs), including royalties from secondary market transactions.
 - **Breeding or Exit Proceeds**
If the horse is sold or earns breeding-related revenue during the lease, tokenholders may receive a share of those proceeds (subject to the standard discretionary buyout clause: 3x the remaining lease value).
 - **Insurance Proceeds**
Where applicable, any insurance claim paid out during the lease term.
 - **Appearance Fees**
Income from events, parades, or promotional appearances.
 - **Merchandising & Hospitality**
Revenue from branded merchandise or race-day experiences for tokenholders.
 - **Data Licensing**
Earnings from licensing the horse's biometric or performance data.
 - **Other Commercial Revenue**
Any other reasonable and verifiable income directly attributable to the horse during the lease period.

- **Utility-based benefits.**

Tokenholders may also be entitled to additional utility benefits to be defined by the relevant horse owner, these may include:-

- Access to behind-the-scenes updates or training data;
- Token-gated live streams or trainer Q&As;
- Invitations to race day events or digital experiences;
- Exclusive rights to purchase related NFTs or memorabilia.

- **No Additional financial Responsibilities:**

- Tokenholder subscriptions funds will be used for the care, maintenance, training and upkeep of the specified horse(s).
- Other than the subscription, tokenholders do not bear any additional financial responsibility for training, care, or veterinary costs.

- Leasing is purely an exchange of cashflows (if any) based on race performance or other earnings as outlined above, making this VA a clearly defined reward structure but with no guarantee of any income. Tokenholder returns are a predetermined and specific share of all earnings achieved by the individual horse(s) over the life of the token, received in proportion to their fractional investment in the care, maintenance, training and support for the horse.

- **Regulated & Transparent Process:**

- The HLT First Gear (NZ) lease is registered with **NZTR**, ensuring **full regulatory compliance**.
- Horses are managed under an NZTR-registered Authorised Syndicator or Lease Manager providing oversight and governance.
- Any change to the horse's status – including spelling, injury, suspension or deregistration are communicated to the Lease Manager who advise of an update to the token status on the Tokinvest investor platform, ensuring strict alignment with NZ records.
- NZTR's governance processes, Code of Conduct, and oversight of ownership and registration activity provide a clear layer of independent scrutiny. A lease can only be cancelled if the horse is officially deregistered with NZTR (Form SR24 submitted and approved). This protects investors against any scenarios where an unscrupulous owner may try and game the lease process for short-term gain (such as pump and dump).
- If investors are dissatisfied with any action taken by the Lease Manager, the owners, or Racing Manager, there is formal recourse through NZTR's independent dispute and integrity processes.
- NZTR's governance processes, Code of Conduct, and oversight of ownership and registration activity provide a clear layer of independent scrutiny.
- Transactions require **AML/KYC verification** on the Tokinvest Investor platform.
- Tokens can only be purchased by whitelisted and pre-approved users via the Tokinvest platform. Once purchased, tokens are custodied in segregated wallets on Hex Trust and managed on behalf of tokenholders by Tokinvest
- All tokens are issued and burnt by Tokinvest and transfer of ownership takes place strictly via its platform to ensure that only pre-approved whitelisted participants can transact in the tokens.
- There are no pre-defined phases to the offering of the HLT as there might be with a non-real-world asset token. Each issuance relates to a new and specific lease which in turn represents a new and specific share of the rewards related to an individual racehorse asset. See section 5 point 5 below for details around potential

subsequent issues.

- There are no pre-sales or discounted offer for early purchasers. The tokens are listed on the Tokinvest platform at the issue price until the full value of the lease is sold or the remaining amount of the lease is withdrawn.
- Tokens minted are limited to the pre-determined amount of the lease. Once all tokens related to a lease are sold there is no further offering against that lease and it cannot be oversold.
- There is no subscription process or period for the HLT at this time. Tokens are offered for sale on the platform at a fixed price until tokens are sold or the horse owner delists the offering and removes any unsold tokens. Offerings do not need to sell out to be successful
- All investor funds are held securely by Tokinvest in their CMA with Zand Bank in the UAE. No transfer of funds takes place until the tokens have been minted and no tokens are minted until the full amount of investor funds have been received. This allows for a DVP process which protects investor funds and tokens both.
- Whitelisted investors can deposit AED funds to their account with Tokinvest DMCC. Upon receipt of funds, tokens can be purchased and the requisite amount will be debited from their account accordingly. All token flows from the issuer to the investor are credited to their account with Tokinvest upon receipt where they can be withdrawn when desired.
- In the unlikely circumstance that a lease offer is withdrawn prior to issuance for commercial or compliance reasons Tokinvest will not mint tokens for this lease.
- Once a lease is officially listed on the platform and made available for sale the lease can only be terminated if the horse is no longer fit to race or becomes otherwise ineligible (see Section 7 **Lease Termination and Modification of Rights** below). The lease issuer does not have the right to cancel the offering once tokens have been issued to investors.
- Tokinvest uses Hex Trust as their VARA licensed custodian for digital assets. Upon successful purchase of tokens on the Tokinvest DMCC platform, the operations team will transfer the investor tokens to their individual wallet with Hex Trust within 48 hours. Tokinvest maintain the CAP table of all assets and can thus restore any lost or stolen tokens to the rightful investor should a negative event occur.

- **Secondary Market:**

- Where sufficient investor interest permits, Tokinvest will offer existing tokenholders the opportunity to list their tokens for sale on the platform before lease expiry.
- There is no accrual calculation or rewards split when tokens are transferred between payment periods – quarterly payment is due solely to the owner of the

token on the payment date. This is the same model as employed in financial markets for equities which pay a dividend to the registered shareholder on the dividend date.

- When a tokenholder sells their token on the secondary market they immediately forgo any future payments from the token, all of which pass to the buyer.
- It is the responsibility of both buyer and seller to check the performance of the horse in the current period to determine any payments already due to the token at the time of transaction. Race history and horse performance is detailed on the Race Record tab of the offering page for each specific horse on the investor platform. Payment dates are detailed on the Timeline tab.
- Buyers and sellers will receive an on-screen message reminding them of their responsibilities when they enter an order on the secondary market page on the Tokinvest platform.

- **Simple Exit Mechanism:**

- At the end of the predetermined and non-negotiable fixed term of the lease, the tokenholder's entitlement to earnings ceases. At this time the token will be burnt. There is no redemption value associated with the token itself at expiry, payments to tokenholders are based solely on the rewards detailed above and accrued during the life of the token.

- **Future Plans:**

- "HLT – First Gear (NZ)" is the first tokenised horse lease asset tokenised globally and is attracting high interest from the international racing community. The first milestone will be the issuance and sale of the tokens successfully.
- It is envisaged that it will be the first of a number of issuances due to the broad interest from industry participants globally, with leases being tokenised under the same structure and using the same token profile (with a unique name for each individual lease to ensure ease of identification and non-fungibility).
- Resources have been allocated for onboarding of new investors, marketing and the cost of minting, managing and burning the tokens.

- **Target Market:**

- Horse ownership has traditionally been limited to high-net-worth individuals who have been able to purchase a stake in a syndicate. As a global sport, it has an enormous following from Royal Families to the everyday person. By offering this token to the public, an opportunity is created for everybody to enter the realms of having an economic interest in a horse.
- The token is targeted at non-US investors of all categories, who have an interest in supporting the future development of the equine industry. The target audience includes, but is not limited to; high-net worth individuals, racing syndicates and

clubs and international racing fans looking to enjoy events outside of their own domestic calendar.

- Investor categories eligible to invest in the HLT token are Institutional, Qualified and Retail. All investor categories have equal rights as tokenholders.
- Investors must be over the age of 18 to purchase HLT tokens. There is no upper age limit as horse racing is a sport enjoyed by all ages.

- **Trading Platform:**

- After issuance the token will only be available for purchase on the Tokinvest DMCC investor platform. Tokinvest will also support secondary market trading of the tokens should there be sufficient investor interest.
- At this time there are no plans to list the tokens for sale on any other platform or to allow transfer outside of the wallets at Hex Trust managed by Tokinvest. Any proposed change of listing plans must be shared with, and agreed by, VARA ahead of any implementation.

Section 3 - A detailed description of the rights and obligations attached to the Virtual Asset, including but not limited to any voting rights, entitlement to rewards or value in kind and the nature or such rewards or value, any other financial or non-financial interests, and the procedures and conditions for holders to exercise those rights.

Tokinvest DMCC has no plans to change or adapt the characteristics or functionality of the token at the time of writing this whitepaper. Any material change would be advised to VARA for pre-approval ahead of any implementation.

The HLT is only available for transacting via the Tokinvest DMCC investor platform and there are no plans to list on other platforms or alternative DLTs other than Polygon at this time. No difference in rights would be expected in the case that an alternative DLT was used in the future.

All HLT tokens issued for a specific racehorse lease have equal rights and accrue the same economic benefits. These tokens will share the same name (e.g. HLT – [RACEHORSE NAME & LOCATION]) and are fungible. Tokens for different leases with different token names are strictly non-fungible as the performance of the horse, terms of the lease and economic benefits receivable may differ.

Rights of Lease Holders:

1. Race Winnings Participation:

- Lease holders receive 80% of winnings generated by their leased stake.
- Payouts are distributed quarterly on a paid once paid basis via the Tokinvest platform directly to the tokenholders

2. Fixed-Term Financial Exposure:

- Tokenholders are only financially exposed for the lease duration and for a known and pre-specified amount, limiting long-term risk.
- No obligation to renew after the term expires.

3. Market Access & Flexibility:

- Tokenholders can lease multiple horses to diversify exposure.
- Buyout clause - if a horse is sold during the lease period, the owners will honour the remaining duration of the lease with a buyout at 3x the remaining lease value. For example if:-

A token holder had acquired a 1000 AED fractional HLT for a 12-month period, and that horse was sold with 6 months remaining on the HLT, then the token holder will be entitled to a payout of $3 \times 6/12 \times 1000 = 1500$ AED.

4. No Rights of Ownership of the Underlying Asset:

- Each Horse Lease Token represents a fractional beneficial interest in a time-bound lease of a registered racehorse. **It does not confer legal ownership of the horse in part or in full.** The lease is structured and registered in accordance with the relevant Rules of Racing and is proportionate to the percentage issued (e.g. 1% token = 1% leased interest). Fractionalisation is achieved through tokenisation of the lease percentage and not the ownership of the underlying asset.

See also section 7 below **Lease Termination and Modification of Rights** for details of situations where these rights may be modified and token status changed.

Section 4 - The planned use of any proceeds or consideration received by the issuer from issuing the Virtual Asset [if applicable], including fiat currencies, any other tangible assets or VAs.

The HLT is purchased by the tokenholder using fiat currency via the Tokinvest platform.

The proceeds are used by Evolution Stables to fund the day-to-day costs of owning, training and preparing the individual racehorse for competition.

Although the issued funds may be used by the owner to cover variable expenditures such as training, maintenance or veterinary costs, these expenditures are not deducted from the contractual payout due to the token holder from any race winnings. As specified above, tokenholders are not held liable for any costs of racehorse ownership, expected or unforeseen.

Instead, winnings by the individual racehorse and other earnings (if any) are divided between owner and tokenholders at a predetermined and specified ratio in the contractual agreement for each token.

Section 5 - A detailed description of the issuance structure of the Virtual Asset, in particular the number of Virtual Assets that will be issued, the issuance schedule, when all the Virtual Assets will be made available and how many will be allocated or retained by the Issuer.

The Virtual Asset represents a fixed-term lease agreement, granting holders proportional entitlement to race winnings and other earnings (if any) for the HLT duration. The issuance structure is designed for efficiency, transparency, and minimal complexity, aligning with industry best practices and permitting tokenholders to contribute to the further growth of the equine industry.

1. Lease Token Issuance Reward Model

- The horse owner determines the lease size (e.g., offering 10% of the horse), lease duration (always in full months, minimum of 12 months), and listing price per percentage (e.g., \$X per 1%).
- There is no minimum target subscription threshold for a listing and so at no point will an investor have made a purchase for the offer to be cancelled. Unsold lease stakes remain with the owner and can be re-listed in future cycles. Investor accounts with Tokinvest are only debited when the tokens are purchased and any failed purchase will see the funds immediately returned to their account.

2. Minting & Token Supply

Mint on Purchase— Tokens are only ever minted when purchased by an investor on a transaction by transaction basis. This avoids unnecessary supply and the risk of unsold tokens being left in the issuer wallet. As detailed in section 2 above

Unsold lease stakes remain listed on the platform until such times as the owner wishes to withdraw and made available for future leasing. This ensures only active tokenized leases exist in circulation.

3. Allocation & Retention of Virtual Assets

- Investors receive tokens upon purchase.
- Unsold stakes remain with the owner and are not tokenized unless purchased.
- Tokinvest does not retain ownership of any of these Virtual Assets.

4. Number of Tokens Issued

- For the first issuance of the HLT there will be 20 tokens issued with equal rights and at the equal price of AED 550. See section 10 below for details.

5. Subsequent Offers

- The HLT is a token standard that is expected to be used for future issuances. Each tokenised lease is a standalone product tied to a defined time period and percentage of a specific horse. Different racehorses will have their leases tokenised and existing horses may have lease renewals tokenised or owners may wish to increase the tokenised proportion of a racehorse with an existing lease.

There is no expectation that any of these offers will dilute the value of tokens already issued as they represent different and exclusive shares of the rewards available. As;

- Tokenising the lease of a new racehorse should not impact the value of tokens outstanding

for another racehorse as they represent different assets with their own potential reward stream.

- A further lease on the same horse which has already been tokenised in part should not impact the value of tokens outstanding as these tokens will have their own proportional share of the overall rewards and will not reduce the entitlements for existing tokens in any way. Each issuance is separate with distinct terms.

6. Tokenholder Protections

The New Zealand racing industry is one of the most highly regulated in the world. Every aspect of syndication is governed by NZTR, with independent oversight from the Racing Integrity Board. From licensed trainers and regular veterinary inspections to compulsory lease registration and dispute resolution, the system ensures the horse's welfare and protects investors' interests at every stage.

These real-world regulatory protections ensure that the underlying asset (the horse) cannot be unilaterally withdrawn, mistreated, or mismanaged without significant legal, financial, and reputational consequences—giving investors a strong layer of protection that is rare in digital asset offerings.

A. Licensed Handlers and Professional Management

- **Authorised Syndicator:** All syndicates must be registered and authorised by NZTR, which requires meeting high standards for compliance, transparency, and investor protection.
- **Licensed Trainer:** Only trainers licensed by NZTR can manage the care and training of the horse. They must adhere to strict codes of conduct, animal welfare standards, and are subject to regular audits.
- **Qualified Stable Staff and Work Riders:** Every person who handles, rides, or cares for the horse must hold a current NZTR licence, ensuring all hands-on management is performed by vetted professionals.
- **Routine Veterinary Inspections:** Regular health and welfare checks by qualified veterinarians are mandatory. Any issues or injuries are reported to NZTR, providing ongoing assurance of the asset's wellbeing.

B. Regulatory Oversight and Enforcement

- **New Zealand Thoroughbred Racing (NZTR):**
NZTR is the central regulatory authority responsible for registering syndicates, trainers, leases, and all official agreements. This ensures that all activities and changes are monitored and controlled.
- **Compulsory Lease and Syndicate Registration:**
Every syndicate and lease agreement must be formally registered with NZTR, setting out detailed terms for ownership, management, and dispute resolution. Unilateral withdrawal or changes require NZTR approval.

- **Racing Integrity Board:**
An independent body overseeing all participants, ensuring strict compliance with industry regulations. The Board has the authority to investigate, sanction, suspend, or disqualify individuals or syndicates for any breach.

C. Transparency, Reporting & Dispute Resolution

- **Regular Reporting to Investors:** Syndicate managers are obligated to provide frequent and transparent updates to all investors, including financial statements, race plans, and welfare updates for the horse.
- **Dispute Resolution Process:** NZTR offers a formal, independent process for resolving disputes, protecting investor rights in the event of any breach of agreement or concern over the management of the asset.

Investor protections relating to the lease are detailed in the risk disclosure.

Section 6 – Whether Entities other than the Issuer which will be involved in the issuance [e.g. Licensed Distributors] will be allocated Virtual Assets either at issuance or as part of the issuance schedule and if so how many

Evolution Stables – Acts as an agent facilitating the lease process but does not receive or hold any Virtual Assets. Evolution stables manages the registration of its horse leases with NZTR.

NZTR – Provides regulatory oversight and ensures compliance but does not retain or allocate Virtual Assets.

NZTR’s role is regulatory oversight. They require all racehorse leases to be formally registered, ensuring compliance with their established Rules of Racing, which govern general conduct within the racing community. While NZTR generally does not involve itself directly in private contractual disputes between parties, it maintains authority over lease registrations, horse eligibility, and racing participation. Failure to adhere to NZTR’s stipulated requirements (such as properly registering leases or complying with lease conditions) can lead to disciplinary actions—including fines, suspension, or de-registration of horses from racing events—which would halt token trading and invalidate related lease obligations.

NZTR is supportive of digital syndication initiatives, as increasing ownership and participation aligns directly with their core objectives. Although they cannot directly participate—as this falls outside their regulatory mandate—they remain supportive provided these initiatives fully adhere to existing regulations and procedures.

The NZTR rules of racing are linked for reference - [Rules of Racing](#)

Section 7 - Any terms and conditions applicable to holding the Virtual Assets including but not limited to periods during which a Virtual Asset cannot be used or redeemed.

Holders of leased Virtual Assets (tokens) acknowledge the following conditions:

1. Suspension Due to Injury or Inquiry

- If a leased horse is injured, lease tokens may be temporarily suspended until further notice. This means they will not be listed for sale on the Tokinvest platform until the horse has returned to race fitness.
- If a horse is under official inquiry by racing authorities, trading of lease tokens (if available) will be halted.

2. Regulatory Compliance

- Any changes to the horse's eligibility (such as withdrawal from racing due to injury or investigation) must be reported to NZTR and may impact the lease agreement. If a horse is de-registered by NZTR then the associated tokens will be burnt and all payment obligations will be voided as per the lease terms (see below).

Lease Termination and Modification of Rights

A lease will be deemed terminated when the registered owner or manager submits, and NZTR (or the relevant racing authority) accepts, Form SR24, formally de-registering the horse from racing. At this point, all associated tokens will be burnt, and any outstanding returns distributed pro rata.

If a horse is re-registered within the original lease period, the original leaseholder will be offered the opportunity to resume their lease on the same terms and allocation before any new lease may be offered to others.

In the case of temporary setbacks (e.g. injury, spelling, or suspension), the lease remains in force. However, if costs materially reduce (such as when a horse moves from training to paddock), the owner is encouraged — *though not obligated* — to offer a refund, credit, or lease extension in good faith.

A token classification system will be displayed on-platform to reflect the horse's status:

Status	Label	Meaning
 Green	<i>Active</i>	Horse is in full work and eligible to race or trial
 Orange	<i>Temporarily Inactive</i>	Horse is spelled, recovering from injury, or otherwise out of training
 Red	<i>Under Investigation</i>	Horse is suspended or under investigation by a racing authority
 Black	<i>De-registered</i>	Form SR24 submitted; horse no longer a registered racehorse

Ownership of the token confers the same rights as lease ownership. These rights dictate:

Green and Orange status are considered part of the normal racing lifecycle. During extended Orange periods, owners or the Racing Manager are encouraged to apply a lease cost reduction to reflect lower operating costs; however, this is not contractually enforceable and remains at their discretion.

Red status reflects significant regulatory events, however refunds or financial remedies are not automatically applied during Red status. If liability is determined by the relevant authority and the situation results in deregistration, investors may be eligible for refunds under Black status provisions.

Black status represents a clear termination point with a structured refund process. Tokens are cancelled and burnt, and the lease is terminated. Investors receive a refund of any prepaid lease amount within 30 calendar days of deregistration being confirmed by NZTR and communicated to the Lease Manager. Refunds are paid by the Lease Manager to the Tokinvest platform and redistributed to investors' accounts immediately upon sight of funds or within 24 hours of their arrival in the Tokinvest CMA.

Re-offer of tokens on re-registration: If a lease is terminated and re-registered at a future date, affected tokenholders are offered the opportunity to resume their lease position on equivalent terms via an email to their registered address on the Tokinvest platform. These investors have 48-hours to respond to the email and express their interest before the offering becomes public.

Participation for prior tokenholders is optional and without financial penalty, however there is no discount, and payment must be made as per the normal process to buy tokens. Only after the first right of refusal process is complete can lease rights be offered to new investors.

The deregistration process requires all outstanding tokens for the deregistered lease to be burnt. Therefore, if a lease is re-registered and offered for sale then new tokens will be minted and the offering listed on the Tokinvest platform

Section 8 - Information on all underlying technology, including but not limited to which DLTs a Virtual Asset is compatible with, all relevant DLT-related standards used in its creation, and all information required by holders in respect of the custody and transfer of such Virtual Assets.

This Virtual Asset is built on a secure blockchain compatible with industry standards and utilises a standard ERC 1404 token protocol.

All tokens are held in secure digital wallets provided by Hex Trust, a VARA licensed VASP providing regulated Custody Services. This is facilitated through a material outsourcing agreement Tokinvest DMCC has established with Hex Trust.

Token OTC transfers (if enabled) are facilitated through the Tokinvest platform, ensuring compliance with regulatory requirements.

Users / investors need an account on the Tokinvest platform and must complete KYC/AML verification.

Multi-factor authentication and encryption protocols protect user accounts and assets.

Section 9 – Whether the Virtual Asset has been subject to an independent smart contract audit and the date of the most recent audit.

The smart contract for this Virtual Asset has undergone a comprehensive independent audit, most recently on 14 December 2022.

The audit was conducted by Block Solutions, a reputable cybersecurity and blockchain auditor.

The results of the audit confirmed that the Token smart contract is secure, and functions as intended, with no critical vulnerabilities detected.

Section 10 – The Issue price [if applicable].

Currency of Issuance:

Tokens will be issued in either AED or in the currency of the jurisdiction where the horse is registered, dependent on circumstances related to each individual lease.

Pricing Example:

If a horse's quoted lease price is \$100, this reflects a rate of **\$100 per 1% stake, per month**. Leasing a 10% stake for 12 months would therefore cost **10 x \$100 x 12 = \$12,000**.

Token Pricing & Quantity:

The individual token price is derived by dividing the total lease value by the number of tokens issued. This will vary by each HLT issuance depending on the individual lease that is being tokenised.

Reference Asset:

The Reference Asset for the token is the legal agreement detailing the terms of the Horse Lease. This document evidences enforceable legal rights which are directly linked to the economic value of the tokens.

The original signed document is held in custody by Evolution Stables, under a secure and access-controlled environment, in compliance with applicable data and document retention standards. A certified digital copy is stored on Tokinvest's secured internal systems to ensure auditability and tamper resistance.

The Lease refers to a specific, registered thoroughbred racehorse, identified by its microchip number and jurisdictional racing authority ID (e.g. NZTR life number).

The Reference Asset for each token is fixed at the time of issuance and does not change during the lease term. Each issued HLT references a specific Lease on an individual animal detailed in the smart contract and referred to in the token full name.

Tokens with the same name are fungible as they reference equal economic rights to the same underlying asset. Tokens with a different name reference a different asset and are strictly non-fungible at all times. If the underlying horse becomes ineligible (e.g. injury or sale), the lease may be withdrawn prior to issuance. No substitutions or reassignments can occur once tokens are issued.

HLT – FIRST ISSUANCE

The first issuance of the HLT will be a lease for the New Zealand racehorse, First Gear.

The horse has been selected by Evolution Stables based on its active racing status, suitability for leasing, and compliance with local Rules of Racing. All horses undergo veterinary assessment and must be under the care of a licensed trainer before listing.

The token name for this issuance will be “HLT – First Gear (NZ)”.

There will be 20 tokens issued with a price of AED 550 per token totaling AED 11,000.

All tokens will be made available at the same time, no supply will be withheld or retained by the issuer.

Tokens will be issued upon VARA approval of this whitepaper and following a brief, targeted marketing campaign to investors that have expressed an interest in the VA.

Investors are advised that whilst an issuance of the HLT may be denominated in the currency of the jurisdiction in which the horse is registered and Tokinvest may accept deposits in different fiat currencies or stablecoins (subject to CBUAE regulatory approval), the base currency for the Tokinvest platform is fiat AED. Foreign exchange and stablecoin conversion rates are subject to fluctuation and may impact the value of the investment and the performance of the asset. Cashflows arising from this asset, including any distributions or returns, will be subject to prevailing exchange rates at the time of conversion, and may be subject to additional foreign exchange charges. These fluctuations and charges may affect the overall returns to investors.

Section 11 - A description of how the Issuer determines the value of any Virtual Asset [if applicable] including how any redeemable value is accrued.

The value of the Virtual Asset (lease-based token) is determined by the **horse owner** at the time of listing, based on:

- **Past Performance & Pedigree:** The horse’s racing record, earnings history, pedigree, and expected performance are considered when determining value.
- **Market Demand:** Interest from investors and historical lease pricing.
- **Owner’s Lease Valuation:** The price set by the owner, reflecting the horse’s training level, race schedule, and competitive potential. and overall commercial value

For the tokenholder, the value of owning the lease token arises from the horse’s race winnings and any other applicable rewards (see Section 2), with lease holders receiving a predetermined share (e.g., 80% winnings) for the duration of the lease. These rewards are paid on a fixed schedule, decided in advance and specified in the token contract.

The token itself has no underlying value at redemption as it expires in line with the lease. Upon

expiry and after payment has been made for the prior period, the tokenholder no longer has any rights to receive future rewards from the horse's performance and the token is burnt at zero cost.

Section 12 – Detailed description of any fees or charges associated with the Virtual Asset [If applicable].

All fees and charges are also detailed in the fee schedule shown in section 3 above.

- 7% Brokerage fee due to Tokinvest DMCC for the purchase of primary issuance tokens. This is a fee payable by the investor to Tokinvest during the initial investment, in addition to the token purchase price, in consideration for the provision of regulated brokerage services.
- 5% agency fee for Evolution Stables who assisted to secure the horse leases. This is a fee payable by the investor to Evolution during the initial investment, in addition to the token purchase price, for its work as the agent in sourcing the referenced racehorse asset.
- 0.25% transfer fee for OTC secondary market purchases and sales (payable by both parties) payable to Tokinvest DMCC. This is only payable in respect of secondary transactions of the Virtual Asset and reflects the cost of providing the OTC marketplace solution and transaction recordal.
- 0.1% Transfer fee for VA transfer in Hex Trust (payable by the buyer). This reflects the costs associated with VA transfers into the custodial solution.
- 0.2% Annual Custody fee payable to Tokinvest DMCC (calculated daily, billed monthly,). This is a cost to tokenholders that reflects the cost of providing the integrated VA custody solution to safeguard the tokenholders assets.

Section 13 – Any material legal or regulatory considerations applicable to owning, storing, transferring, or otherwise using the Virtual Asset [if applicable].

HLT holders are to take note of:

1. The NZTR Rules of Racing; Syndication Code of Practice;
2. Syndication code of practice; and
3. NZTR Form for Leasing (which form part of the whitepaper for the HLT) for reference and which govern the relevant horse(s) for the Virtual Assets :-

[NZTR Rules of Racing](#)

[SYNDICATION CODE OF PRACTICE](#)

All participants must pass KYC/AML checks and comply with platform terms. Transfer of these Virtual Assets can only be made via the Tokinvest OTC platform to pre-authorised and screened participants.

Tokenholders outside of the UAE are responsible for ensuring compliance with their local laws regarding virtual assets. Ownership and transaction of these Virtual Assets is not available to citizens or residents of the USA.

Note that changes in laws or regulations may affect token legality, transferability, or value. A comprehensive risk disclosure document accompanies this white paper, detailing all potential risks associated with ownership.

Each owner of these HLT Virtual Assets agrees to the following:-

1. This Whitepaper together with the Tokinvest Brokerage Terms and Conditions and the associated Risk and Disclosure statement sets out the basis upon which you agree to acquire and trade this Virtual Asset.
2. Notwithstanding the following, in its capacity as the Issuer Tokinvest DMCC does not limit or exclude its actual or potential civil liability in respect of the accuracy of any information in this whitepaper, or any other disclosure or communication relating to this whitepaper. Subject to the foregoing:-
 - a. Tokinvest DMCC shall not be liable to you for any indirect or consequential losses or for any loss or profits or anticipated returns;
 - b. the total aggregate liability of Tokinvest DMCC to you in contract, tort, negligence, for breach of statutory duty, under an indemnity or otherwise arising out of or in connection with the issuance of this virtual asset will be capped at a sum equal to the amount of payments that have been received by Tokinvest for distribution to tokenholders and which are due to you in accordance with the terms of this Virtual Asset whitepaper.
3. Tokinvest DMCC will not be liable in contract, tort (including negligence), for breach of statutory duty, under an indemnity or in any other way for any special or indirect or consequential loss or damage suffered or incurred by you arising out of or in connection with the issuance of this Virtual Asset.
4. Nothing contained in this section shall be applicable to the extent that it: a. constitutes a limitation or exclusion of liability for death or personal injury caused by negligence or constitutes a limitation or exclusion of liability for fraud, deceit, or reckless disregard of professional obligations; or b. would render either you or us in breach of any applicable and mandatory legal, regulatory or other professional restriction or requirement.
5. Appendix C sets out information about the impact and rights of tokenholders in the event of the insolvency of Tokinvest.
6. Unless otherwise specified in this whitepaper, the rights of an owner of this Virtual Asset cannot be changed or varied without the approval of the owner of the Virtual Asset.
7. Any complaints arising out of, or in connection with, this whitepaper or token should be directed to the published [Tokinvest Complaints Handling and Resolution Procedure](#) on the company website.
8. Unlike Crypto tokens which are themselves the underlying asset, RWA tokens are on-chain representations of off-chain assets or their associated economic benefits. This means that if RWA tokens are lost or compromised, they can be burnt and re-issued to the rightful owner as registered on the Tokinvest CAP table. As such, should a recovery event occur, Tokinvest

DMCC will burn those tokens identified as compromised and replace them with new, valid tokens on a one-for-one basis directly into the wallet of the rightful owner(s).

9. This Virtual Asset is not designed or marketed as an investment. It does not guarantee or promise any return. It offers only the opportunity to engage with a horse's journey and receive rewards based on its performance.

10. This Virtual Asset is not intended to function or be marketed as a financial investment. It offers no guarantees of return but provides the opportunity to participate in a horse's journey and share in any performance-based rewards.

Any dispute arising out of or in connection with this whitepaper, including any question regarding its existence, validity or termination, shall be referred to and finally resolved by the Courts of the DIFC and the governing law of the contract shall be the substantive law of the UAE.

The issuance of the Virtual Asset and its offering to the public is made under the substantive law of the UAE.

Section 14 – A statement on the environmental and climate-related impact of the Virtual Asset

This Virtual Asset is implemented on Polygon which is an energy-efficient blockchain using consensus mechanism of Proof of Stake (PoS) which ensures minimal environmental impact due to the low energy consumption of the underlying technology.

Tokinvest is dedicated to sustainable practices and continuously seeks ways to reduce its environmental footprint. We will always provide information on the environmental impact of all our activities and positively encourage and support eco-friendly initiatives within the industry.

Section 15 – Functions of Tokinvest Management Body Members

Tokinvest Board – Fiduciary responsibility to shareholders and is responsible for delivering efficient and effective corporate governance ensuring that the company's obligations to all relevant VARA regulations and applicable laws.

Tokinvest Listing Committee - The Chair of the Committee has designated authority from the Board in order to establish to oversee and manage the listing and delisting of assets within the regulated business. Reviews, analyses and approves a new product listing proforma ahead of new product launch.

Chief Executive Officer - first and foremost, the CEO leads the company. They possess an in-depth understanding of the tokenisation sector, the benefits of what this asset class can deliver to a broad range of clients which previously were reserved for the top 1%.

Chief Strategy Officer - responsible for identifying market trends and establishing new products to enable the company to take advantage of the opportunities they identify. The CSO is a market leader in identifying these trends and formulating the criteria required of a product to meet these evolving market opportunities. They are a thought leader and operate ahead of the curve

Chief Compliance Officer – Under delegated authority of the Board, ensure all compliance policies and procedures align to regulatory requirements. Ensuring that all Staff and Board are properly trained in respect to their understanding and compliance with all applicable laws and regulations, specifically VARA's requirements around AML/CFT and consumer protection inclusive of data protection. Ensures a thorough understanding of any compliance risks which are raised throughout the design and creation of a new product.

Chief Risk Officer - Under delegated authority of the Board, ensure all risk management policies and procedures align to regulatory requirements and risk management best practice. Ensures a thorough understanding of any risks which are raised throughout the design and creation of a new product, covering, but not limited to, strategy, liquidity, market, legal, compliance, credit, technology, operational and reputational risk.

Section 16 – Tokinvest Financial Condition

Tokinvest maintains a capital lock-up account with Zand Bank in line with the VARA regulations. This funding is segregated and secured within a CBUAE licensed third-party bank to ensure that the company is able to perform an orderly wind-down should the need arise. This provides investors peace of mind that their investments are safe.

In addition to maintaining this capital lock-up, Tokinvest DMCC meets its monthly regulatory reporting requirements to VARA to provide Financial Statements which demonstrate the financial health of the company.

Reserve Assets:

The VARA regulatory framework dictates that for certain asset-referenced Virtual Assets issuers must maintain a Reserve Asset allocation.

Tokinvest will allocate a portion of their Reserve Assets that corresponds to 2% of the net token issuance amount (excluding fees and commissions) within the VARA stipulated timeframe for each individual HLT that is issued.

These Reserve Assets will be held in fiat AED, being the base currency of the issuance and of Tokinvest DMCC. At this time Tokinvest sees no reason to expect the Reserve Asset composition to change.

Funds are placed in a segregated account with Zand Bank, a CBUAE licensed domestic institution, and managed strictly according to Tokinvest's Reserve Assets policy. Important risks include;

Credit Risk

Reserve assets are subject to the creditworthiness of the custodian institution. Tokinvest shall only maintain reserve accounts with banks that meet minimum capital adequacy and credit rating thresholds approved by the Tokinvest Risk Committee.

Market Risk

As reserves are denominated solely in fiat AED, market risk is limited to inflation or devaluation of the AED. Tokinvest does not engage in FX hedging or interest rate speculation.

Counterparty Risk

Tokinvest faces counterparty risk in relation to the custody institution. Due diligence must be performed annually to assess financial health, operational controls, and regulatory compliance of the custodian. No reserve assets shall be placed with unlicensed or offshore financial institutions at any time.

Liquidity Risk

All reserve assets must be available for redemption or conversion on demand. At least 90% of reserves must be held in instruments providing same-day liquidity. Term deposits or restricted access holdings must not exceed 10% of total reserves and be pre-approved by the Tokinvest Risk Committee.

Section 17 – Virtual Asset Redemption Process

These Virtual Assets are **strictly non-redeemable**.

Upon the expiration of the relevant lease period, the VA structured product will expire with zero value, and the tokens will be burnt.

If the horse is sold during the lease period, then the Buyout clause is enacted and the investor is entitled to rewards as detailed in Section 3 point 3. There are no more rewards due to the tokenholders post this event (unless accrued previously and not yet paid) so the lease is terminated early and tokens burnt accordingly.

All rewards will be paid to the tokenholder as set out in this whitepaper and any accrued but unpaid obligations will survive the termination of the lease period and the burning of the token to be paid on the contractually pre-agreed next payment date or sooner.

Terms & Conditions

Key Details

- **Period:** Leases are structured in monthly increments.
 - **Lease Size:** Expressed as a percentage of total ownership (e.g. 10% = 10% of the horse).
 - **Minimum Lot Size:** Set by the owner (e.g. 10% lease with 1% minimum per investor). Further fractionalisation is possible as the offering expands.
 - **Partial Fills:** Unsold portions are returned to the owner upon cancellation.
 - **Pricing:** Listed per 1% per month or totaled as a monthly or annual lease amount.
-

Financial Terms

- **Stakes Split:** Agreed split of race winnings between owner and investor. The proposed range is 80/20 in favour of the tokenholder.
 - **Payment Terms:** The model employed will be a full upfront payment at the time of token purchase.
 - **Errors / Delinquency:** Not applicable with a full upfront payment model.
 - **Buy-Out Clause:** If the horse is sold during the lease term, the owner may buy out the lease at 3x the remaining lease value to compensate tokenholders for the loss of experience access through a fixed-value early termination benefit.
-

Compliance & Ownership

- **Approval:** All listings require approval from the Racing Manager or Syndicate Manager. They must also acknowledge that once a stake is digitally-syndicated, it may be resold on the secondary market, with pre-approved ownership transfer.
- **Regulation:** All leases must comply with NZTR's Rules of Racing. In all racing-related matters, NZTR remains the final authority.
- **Transfer Timing:** Ownership transfer is effective from midnight on the day of purchase.

- **Resale:** Leased stakes may be traded on the secondary market (if made available by the owner).
-

Protections & Responsibilities

- **Investors:** Not liable for unexpected costs or overruns.
 - **Owners:** Must notify Evolution Stables of any performance issues or changes that may impact trading or performance.
 - **Access:** Investors do not receive race day privileges unless otherwise arranged but may receive updates and trainer insights via the platform.
-

Additional Information

- **Updates:** Regular communications will be provided regarding horse status and performance.
- **Community Conduct:** Investors and owners are expected to engage constructively. Breaches may lead to suspension or restricted access.
- **Ongoing Review:** Terms & Conditions are reviewed and refined regularly to improve clarity, protection, and regulatory alignment.

Appendix B – Tokinvest Ownership and Governance

Tokinvest DMCC Board:

- Matt Blom
- Scott Thiel
- Chris Stanford (Non -Executive Director)

Current shareholders:

- Scott Thiel
- Matt Blom
- Robert Cooper
- James Byrne

Business Address:

Tokinvest DMCC
DMCC Crypto Centre, Office 8, Floor 12
Uptown Tower
Jumeirah Lake Towers
Dubai

C-Suite:

- Chief Executive Officer - Scott Thiel
- Chief Strategy Officer - Matt Blom
- Chief Operating Officer / Chief Risk Officer - Rob Cooper
- Chief Technology Officer - James Byrne
- Chief Compliance Officer - Mike Mingee

Information about Tokinvest DMCC – Issuer Assessment

Tokinvest DMCC was formed in May 2024, registered as a business within Dubai's DMCC. The first year of the business saw Tokinvest apply for and receive its VARA Broker Deal license, VL/2024/12/004. Tokinvest DMCC is one of the leading tokenisation businesses within the UAE and has a growing based of clients wishing to tokenise real estate, commodities, funds/bonds and alternative assets.

The "HLT - First Gear (NZ)" will be the first Issuance that Tokinvest DMCC has undertaken and as such there are no performance metrics available.

Tokinvest Governance Framework

Given its fiduciary responsibility to shareholders, the Board is responsible for delivering efficient and effective corporate governance, through which Tokinvest strives to promote sustainable growth and maximise corporate value. After establishing the strategic direction of the Company, the Board shall use its supervisory function on general operations to ensure that these operations are fair and transparent. The Board shall also make decisions on the important business affairs of the Company, such as decisions on the formulation of management plans and business plans and decisions on investment projects that exceed a certain fixed amount of money.

The Board shall delegate responsibility for the conduct of other business affairs and decisions to other members of senior management, and the Board shall carry out the oversight of the performance of their duties.

The Board has established a framework of policies so that business affairs are efficiently conducted under suitable internal controls and shall put in place and monitor the use of a system to manage compliance and risks. The Board shall take the actions necessary to enable external Financial Auditors to fulfil their role.

The Tokinvest Board meet once a quarter to discuss the business updates for that quarter and vote upon anything that requires Board approval. There are three voting Board members and a majority vote is required.

Tokinvest DMCC's Corporate Governance Policy sits across the top of all business activities and provides the governance framework to which the company operates. Diagram 1 below breaks down the Committees that oversee the various policies and processes that the company has in place.

The Tokinvest Board delegates power to a number of committees by formally assigning specific responsibilities and decision making authority to these groups, specially:

- Board of Directors
- Change Advisory Board (CAB)
- Compliance AML Oversight Committee
- Cyber Security Committee
- Listing Committee
- Nomination & Dismissal Committee
- Risk Committee
- Technology/Product Committee
- Vendor Control Function Committee

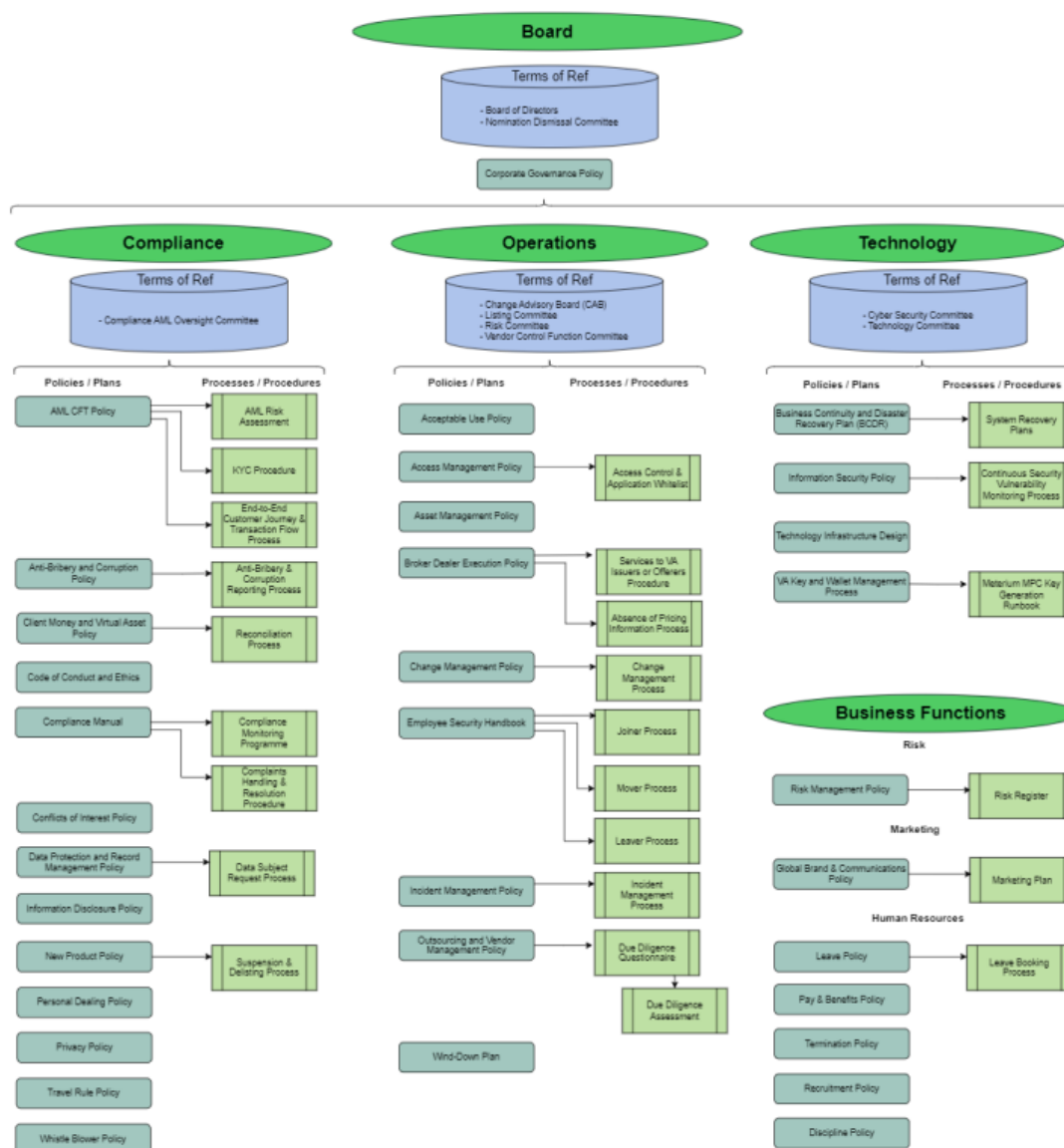


Diagram 1: Governance Structure

Tokinvest DMCC conducts due diligence on all counterparties with whom it works. All asset owners are subject to stringent checks ahead of commencing whitepaper completion which is subsequently submitted to VARA for approval once completed.

Alongside the whitepaper, Tokinvest has in place a whitepaper review cycle to ensure all department heads have reviewed the issuance documentation; inclusive of risk, finance, technology and operations. Alongside the whitepaper, Tokinvest ensures that the following documentation is in place ahead of the business's Listing Committee reviewing and approving the new product:

- VARA's IDQ document
- Compliance Due Diligence report on the asset owner
- Broker Dealer Risk Disclosure Statement

- Issuer Disclosure Statement
- Broker Deal Declaration
- New Product Form which is part of Tokinvest's New Product Policy which governs the oversight of new products. The New Product Form is of critical importance as it is how the business conducts a risk assessment analysis for a given product, considerations are made for:
 - Strategic risk
 - Liquidity risk
 - Finance risk
 - Tax risk
 - Legal risk
 - Compliance risk
 - Credit risk
 - Market risk
 - Technology risk
 - Operational risk
 - Reputation risk

In order for a product to be approved for launch, the areas of risk listed above are analyzed against the business's Risk Management Policy criteria. They are then added to the New Product Form by the Product Owner ahead of review and approval by the following roles:

- Chief Executive Officer
- Chief Strategy Officer
- Chief Legal Officer (CEO currently fulfilling role)
- Chief Compliance Officer
- Chief Risk Officer
- Chief Operating Officer
- Chief Technology Officer

The voting mechanism requires all individuals to review and approve a product prior to release with final approval being held at one of three levels depending on the level of residual risk; low, medium and high as per the table below.

Residual Risk Level	Risk Committee	Executive Committee	Board Risk Committee
Low	Approve	Review	Review
Medium	Recommend for Approval	Approve	Review
High	Recommend for Approval	Recommended for Approval	Approve

A product with a high level of residual risk requires sign off by the Tokinvest Board, a low residual risk product can be approved by the Risk Committee.

Appendix C – Insolvency Event

In the event of Tokinvest DMCC entering into an insolvency event, tokenholders have been given third party rights under the contract between Tokinvest DMCC and Evolution Stables. This creates contractual nexus for tokenholders to seek their virtual asset rewards (if any) directly from Evolution Stables.

Furthermore, in the event of such insolvency, the directors will implement the Wind Down Plan identified in Diagram 1. The Wind Down Plan was approved by VARA as part of Tokinvest's licensing approval. The plan outlines all the activities and processes that the business will undertake should it become insolvent. A critical aspect of the plan is to ensure that client assets are at all times protected and secured within named "client accounts" which will constitute a one of two options depending on if fiat or digital assets are being custodied:

- Fiat currency (cash) will, at all times, be securely stored with an approved third-party bank within the UAE. Tokinvest utilises Client Money Account(s) with Zand Bank.
- Digital assets, where possible, are securely stored with a VARA licensed third-party custodian within the UAE. Tokinvest utilises Hex Trust MENA.

The purpose of client assets being held within accounts designated "client accounts", is to ringfence client assets from company assets in the case of an insolvency.

Tokenholders will be able to engage with the appointed insolvency practitioners during the insolvency proceedings to recover their assets and have them transferred to a third-party location. The appointed insolvency practitioner will ensure that tokenholders are kept fully abreast of the situation and detail to the tokenholders what they need to do, and provide, in order to recover their assets.